SHERLOCK

Security Review For Notional

Collaborative Audit Prepared For: **Notional**
Lead Security Expert(s): **mstpr-brainbot**
Date Audited: **March 3 - March 5, 2026**

Introduction

This audit covers two minor changes to the Notional Exponent core code in addition to an integration with the Inifnifi protocol.

- Adding enterWithYieldToken to AbstractLendingRouter.sol. Allows a user to swap a leveraged position on the yieldToken from a non-Notional Morpho market into the Notional version of that Morpho market. Callable only by whitelisted positionSwapContract.
- Adding enterWithYieldTokenAndLeverage to AbstractLendingRouter.sol. Allows users to enter a position by depositing the yieldToken instead of the borrow asset.
- Adds an Infinifi withdraw request manager. This contract enables siUSD and liUSD yieldTokens.

Scope

Repository: notional-finance/notional-exponent

Audited Commit: eb32a88cfad5efdf5f3a2719e1ff3581a37e3d59

Final Commit: 3190fa037978f9bf81c4ac193143c182ea9c3375

Files:

- src/AbstractYieldStrategy.sol
- src/routers/AbstractLendingRouter.sol
- src/routers/MorphoLendingRouter.sol
- src/withdraws/InfiniFi.sol

Final Commit Hash

3190fa037978f9bf81c4ac193143c182ea9c3375

Findings

Each issue has an assigned severity:

- High issues are directly exploitable security vulnerabilities that need to be fixed.
- Medium issues are security vulnerabilities that may not be directly exploitable or may require certain conditions in order to be exploited. All major issues should be addressed.
- Low/Info issues are non-exploitable, informational findings that do not pose a security risk or impact the system's integrity. These issues are typically cosmetic or

related to compliance requirements, and are not considered a priority for remediation.

Issues Found

High	Medium	Low/Info
0	0	0

Issues Not Fixed and Not Acknowledged

High	Medium	Low/Info
0	0	0

No issues have been uncovered during the security review of the minor changes to the protocol specified in the introduction of the report. The final commit has been signed off on by the Security Researcher.

Disclaimers

Sherlock does not provide guarantees nor warranties relating to the security of the project.

Usage of all smart contract software is at the respective users' sole risk and is the users' responsibility.